market failure, or that all the feasible tools for intervention are likely to work poorly.

We in India have a dire shortage of knowledge resources to serve as inputs into the policymaking process. As argued in the chapter on the statistical system, the basic information systems in India are weak.

We produce far less research than we need to. The bulk of state-supported research tends to be oriented towards science and engineering. However, the knowledge that is required to feed into public policy comes primarily from the social sciences and the humanities. The atrophying of intellectual capabilities in the social sciences and the humanities has adverse implications for the possibility of a sound policy process.

Most committees and commissions that we have been associated with have been hard-pressed to find the data and research required to make recommendations based on sound evidence. In the absence of sound evidence, it is difficult to take sound decisions. The process of policymaking is always about decision-making under uncertainty, but in the absence of proper data sources and sound research, the uncertainty increases considerably.

As an example of the importance of thorough policy work, demonetization was proposed as an answer to the problems of black money, tax compliance and digital payments. There was a lack of knowledge about the empirical facts, the market failures and the efficient interventions on each of these three fronts.

Analyzing social systems is hard even at the best of times. In the public policy context, however, there is an additional problem: The Lucas critique. [1] When we look at the data, it may show certain patterns. But when the policy changes, people will re-optimize, so those patterns will change. Many patterns in the data are not exploitable by policymakers. The hardest research projects are those that seek to illuminate policy thinking.